(2)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA (CAA)/115(CHE)/2021

(Under Sections 230 to 232 of the Companies Act, 2013
In the matter of Scheme of Amalgamation)

of

EXPLEO INDIA INFOSYSTEMS PRIVATE LIMITED
CIN : U72200PN2003PTC018619
Plot No.25/1, Rajiv Gandhi Infotech Park,
MIDC Phase III, Hinjewadi,
Pune – 411 057

...Transferor Company -1

And

EXPLEO TECHNOLOGIES INDIA PRIVATE LIMITED
CIN :U72900KA2008FTC046904
Unit No.201(2A),
XYLEM, Plot No.4 &4A,
2nd Floor, Dyavasandra Industrial Area,
ITPB Main Road, Mahadevapura,
Bangalore – 560 048

... Transferor Company-2

And

EXPLEO ENGINEERING INDIA PRIVATE LIMITED
CIN :U72900KA2003PTC031849
Unit No.201(2A),
XYLEM, Plot No.4 &4A,
2nd Floor, Dyavasandra Industrial Area,
ITPB Main Road, Mahadevapura,
Bangalore – 560 048

... Transferor Company-3

And

SILVER SOFTWARE DEVELOPMENT CENTRE PRIVATE LIMITED
CIN :U72200KA2008PTC045335
Unit No.201(2A),
XYLEM, Plot No.4 &4A,
2nd Floor, Dyavasandra Industrial Area,
ITPB Main Road, Mahadevapura,
Bangalore – 560 048

... Transferor Company-4

And

EXPLEO SOLUTIONS LIMITED
CIN: L64202TN1998PLC066604
6A, Sixth Floor,
Prince Infocity II, No.283/3 & 283/4,
Rajiv Gandhi Salai (OMR),
Kandanchavadi, Chennai – 600 096

...Applicant Company/Transferee Company

Order pronounced on ***8th June 2022***

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

Present:

For Applicant(s):Saji P John, Advocate

O R D E R

Per: **R.SUCHARITHA, MEMBER (JUDICIAL)**

This is an application filed by the Applicant Company/Transferee Company, **EXPLEO SOLUTIONS LIMITED** with its Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Company herein with its Shareholders. The said Scheme is placed at Page no. 329-379 in the typed set filed along with the Application bearing No. CA(CAA)/115 (CHE)/2021.

2. The Applicant Company in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEREE COMPANY	To order for meeting	NIL	To order for meeting

3. From the certificate of incorporation filed, it is evident that

(i) The Transferor Company-1 is a Private limited company incorporated under the provisions of Companies Act, 1956 on 28.11.2003with CIN:U72200PN2003PTC018619. The Authorized Share Capital of the Transferor Company-1 is ₹85,00,000 (Rs. Eighty Five Lakhs) consisting of 8,50,000 Equity Shares of Rs.10 each. The Issued, Subscribed and Paid-up Capital is ₹11,47,550 (Rs. Elven Lakhs Forty Seven Thousand Five Hundred and Fifty) consisting of 1,14,755 Equity Shares of Rs.10 each. The Registered office address of the Transferor Company – 1 is situated at Plot No.25/1, Rajiv Gandhi Infotech Park, MIDC Phase III, Hinjewadi, Pune–411 057.

(ii) The Transferor Company-2is a Private Limited company incorporated under the provisions of Companies Act, 1956 on 25.06.2008with CIN: U72900KA2008FTC046904. The Authorized Share Capital is ₹15,00,00,000 (Rupees Fifteen Crores only) consisting of 1,50,00,000 Equity Shares of Rs.10/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company-2 is ₹14,03,97,780 (Rupees Fourteen Crores three lakhs Ninety Seven Thousand Seven Hundred and Eighty Only) consisting of 1,40,39,778 Equity Shares of

Rs.10/- each. The Registered office address of the Transferor Company – 2 is situated at Unit No. 201(2A), XYLEM, Plot No 4 & 4A, 2nd Floor, Dyavasandra Industrial Area, ITPB Main Road, Mahadevapura, Bangalore- 560048.

(iii) The Transferor Company-3is a Private Limited company incorporated under the provisions of Companies Act, 1956 on 23.04.2003 with CIN:U72900KA2003PTC031849.The Authorized Share Capital is ₹2,35,00,000 (Rupees Two Crores Thirty Five Lakhs Only) consisting of 23,50,000 Equity Shares of Rs.10/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company-3 is ₹87,35,850 (Rupees Eighty Seven Lakh Thirty Five Thousand Eight Hundred and Fifty Only) consisting of 8,73,585 Equity Shares of Rs.10/- each. The Registered office address of the Transferor Company – 3 is situated at Unit No. 201(2A), XYLEM, Plot No 4 & 4A, 2nd Floor, Dyavasandra Industrial Area, ITPB Main Road, Mahadevapura, Bangalore- 560 048.

(iv) The Transferor Company-4 is a Private Limited company incorporated under the provisions of Companies Act, 2016 on 20.02.2008with CIN: U72200KA2008PTC045335. The Authorized Share Capital is ₹2,50,00,000 (Rupees Two Crores Fifty Lakhs Only) consisting of2,50,000 Equity Shares of Rs.100/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company-4 is ₹2,50,00,000 (Rupees Two Crores Fifty Lakhs Only) consisting of 2,50,000 Equity Shares of Rs.100/- each. The Registered office address of the Transferor Company –4 is situated at Unit No. 201(2A),

XYLEM, Plot No 4 & 4A, 2nd Floor, Dyavasandra Industrial Area, ITPB Main Road, Mahadevapura, Bangalore- 560 048.

(v) From the certificate of incorporation filed, it is evident that the **TRANSFEREE COMPANY** is a public limited company limited by shares incorporated under the provisions of the Companies Act, 1956 on 08.06.1998 with CIN: L64202TN1998PLC066604. The Authorised Share Capital is ₹12,00,00,000 (Rupees Twelve Crores Only) consisting of 1,20,00,000 equity shares of INR 10/- each. The Issued, Subscribed and Paid-up Capital of the Transferee Company ₹10,25,24,850 (Rupees Ten Crores Twenty Five Lakhs Twenty Four Thousand Eight Hundred and Fifty Only) consisting of 1,02,52,485 equity shares of INR 10/- each. The Registered office address of the Transferee Company is situated at 6A, Sixth Floor, Prince INFOCITY II,NO.283/3 & 283/4, Rajiv Gandhi Salai (OMR), Kandanchavadi, Chennai, Tamil Nadu-600 096.

4. An affidavit in support of the above application is sworn by Mr. Desikan Narayanan, the Chief Financial Officer of the Applicant Company is placed along with the Application and it is also represented that the Registered Office of the Applicant Company is situated within the jurisdiction of Registrar of Companies, Chennai. The Transferor Company-1 has filed a separate Application with the NCLT- Mumbai Bench as the registered office of the said company falls within the Purview of ROC-Mumbai. Further, the Transferor Companies 2-4 has filed a separate Application with the NCLT-

Bengaluru Bench as the registered office of the said company falls within the Purview of ROC-Bengaluru.

5. **EXPLEO SOLUTIONS LIMITED**
(TRANSFEREE COMPANY)

(i) There are**16,824 (Sixteen Thousand Eight Hundred and Twenty Four)** Equity Shareholders as on 30.06.2021 and the same is averred in para 32 of the Application. Further the Applicant Company has placed on record NOC (No Objection Certificate) from BSE and NSE and the same is placed at **Pg Nos. 419-422** of the typeset field along with the Application.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed as **Page Nos. 411-413** of the typed set filed with the application.

(iii) There are **91 (Ninety One)** Unsecured Creditors and the certificate of the Chartered Accountant certifying the list of Unsecured Creditors is placed at **Page Nos. 414-418** in the typed set filed along with the Application the typed set filed with the Application and sought for Convening, Holding and conducting of the meeting.

6. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant Company.

7. The Applicant Company has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Financial Statements for the year ended 31.03.2021 and Provisional Financial Statements as on 30.06.2021.

8. The Board of Directors of the Applicant Company vide meeting held on 09.07.2021 have unanimously approved the proposed Scheme as contemplated above and copies of the resolutions passed thereon have been placed on record by the Applicant Company.

9. The Appointed date as specified in the Scheme shall be 01.04.2022.

10. The Statutory Auditors of the Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.

11. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions: -

A. EXPLEO SOLUTIONS LIMITED (TRANSFEREE COMPANY):

(i) **With respect to the Equity shareholders:**

Meeting of the Equity Shareholders of the Transferee Company is directed to be held on **02.08.2022** at **10:00 AM** at 6A Sixth Floor, Prince Infocity II, No 283/3 & 283/4, Rajiv Gandhi Salai (OMR) Kandanchavadi, Chennai-600 096or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferee Company that there are **NIL** Secured Creditors in the Company, hence the necessity of convening, holding and conducting the meeting *does not arise.*

(iii) **With respect to the Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferee Company is directed to be held on **02.08.2022 at 12:30 PM** at the 6A Sixth Floor, Prince Infocity II, No 283/3 & 283/4, Rajiv Gandhi Salai (OMR) Kandanchavadi, Chennai-600 096 or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

12. The quorum for the meeting of the Transferee Company shall be as follows;

S.No	Class	Quorum
1	Equity Shareholders	30
2	Unsecured Creditors	10

i) The Chairperson appointed for the above said meetings shall be **Mr.Ralph Franz Gillessen, the *Director of the Company.***

ii) **Mr. V. Suresh, PCS** appointed as a Scrutinizer for the above said meetings. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Company is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant company at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the

quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily ***"Business Line (All India Edition), "Makkal Kural" Tamil*** **(Tamil Nadu Edition)**in Vernacular on or before **20.06.2022** stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of

the respective Applicant Company. Further, the Applicant Company shall also effect a publication in the **"Navbharat Times" (All India Edition)** since it's a listed Company.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai, Official Liquidator and the Income Tax Authorities, SEBI & CCI as well as other Sectoral regulators who may have significant bearing on the operation of the applicant company or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant company shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant company entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Company shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

13. The above Application stand **allowed** on the aforesaid terms.

-SD-

SAMEER KAKAR
MEMBER (TECHNICAL)

-SD-

R. SUCHARITHA
MEMBER (JUDICIAL)

Sriram Ananth.V